

What is it? Guess. Real estate? An Internet business? A network marketing company? Licensing an invention? No. No. Hell no. And no. The best money tree in existence sits right in your pocketbook: The good old-fashioned buck. Yes, money. *Money is the king of money trees.*

How is money passive? If you have a lot of money, you're given the gate key to switch teams from consumer to producer. Specifically, you move from borrower to lender. You move from employee to employer. You move from customer to owner. In other words, people pay you to use YOUR MONEY in the form of interest or ownership.

For example, let's examine interest, which is a fee earned to lend money. Right now you're probably someone who doesn't earn interest, but pays it. Someone lent you money for the mortgage on your home, and in return you pay the note-holder interest. That interest is profit or income to someone else.

While the act of becoming a lender sounds complicated, it isn't. Anytime you buy a certificate of deposit from a bank, you become a lender. Anytime you buy a municipal bond, either directly from the source or indirectly via mutual fund, you become a lender. When you deposit money in the bank, you become a lender. As a lender, you don't administer the loans; you just sit back and collect checks. It's super easy and super passive. Gary, my rich limousine passenger, was a lender who never had to work another day in his life.

SAVERS BECOME LENDERS, OWNERS, AND PRODUCERS

I heard a radio commercial the other day from a self-proclaimed "Double-Dad" guru who declared: "Savers are losers!" I couldn't believe my ears. Savers are losers? And who are the winners? The people you advised to borrow millions on risky real estate investments? Savers aren't losers. Savers are winners because they eventually become lenders. Savers are winners because they become owners in companies. Savers are winners because they become producers and build assets.

Open your wallet and look at a dollar. One buck. It doesn't buy much but it is the embryonic start to a passive income stream. One dollar has the power to give you a nickel of passive income for life. Yes, for life. While one nickel buys squat, it unlocks the DNA implicit in money—it's fully passive.

I retired in my thirties because of this simple reality. I'm a lender, and when you have a lot of money to lend, you live free because passive income arrives every month. If you had \$10 million and lent it at a mere 5% interest, you'd enjoy a passive income of \$41,666 *every single month*. At 8% your monthly income would be \$66,666 per month—fully passive. Over \$60,000 every month! This is *WITHOUT* touching the principal. You can do this for years and still have 10 million dollars left over!

Imagine opening your mailbox every month to a \$40,000 check—and you didn't have to do anything for it. What kind of trouble can you get into earning \$40,000 per month? I bet a lot. Unrealistic? It isn't. This is how I live. Even in this